

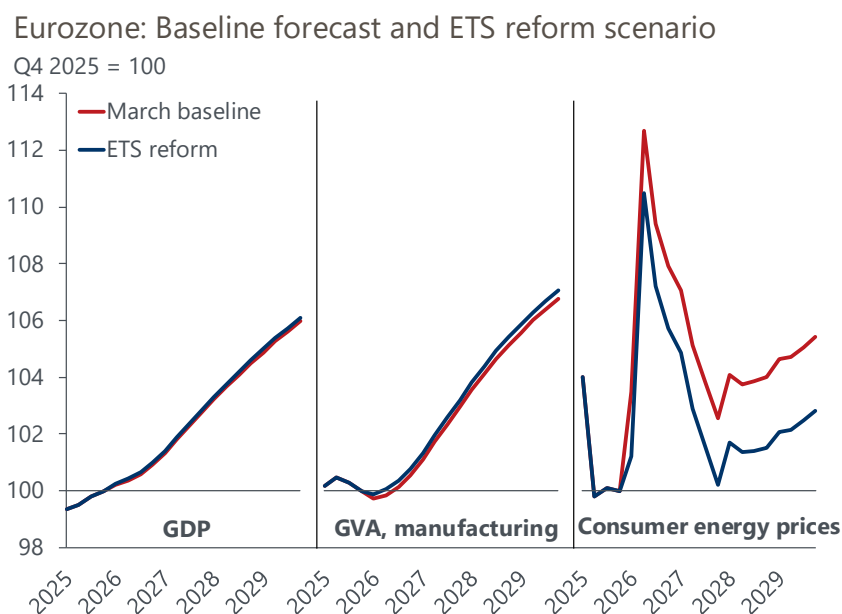
Research Briefing | Eurozone

Diluting the ETS would offer a minimal boost for economy

- We estimate that diluting the EU's Emissions Trading System to lower carbon prices would offer only a marginal boost to GDP and industry. It would also likely extend the EU's dependence on imported fossil fuels due to longer reliance on natural gas-based power plants.
- Calls for reforming the EU ETS to lower electricity prices and improve industry competitiveness started in January as carbon prices reached a high of €95/tCO₂e and have grown louder since the start of the Iran war. Lower wholesale electricity prices would then be passed onto end-customers, with larger impacts in countries where fossil fuels dominate power generation.
- Several options to reform the EU ETS and bring down carbon prices have been proposed. These include reviewing product benchmarks that determine the allocation of free allowances to industries, and measures to increase the volume of allowances in the market in the short term. At the national level, Italy proposed compensating gas power generators for the cost of the ETS, which is likely to face opposition from the European Commission.
- In countries with next to no fossil fuels in power generation, such as the Nordics, there are only indirect benefits to diluting the ETS. For the EU overall, it lowers the incentive to decarbonise the power sector, prolonging the EU's fossil fuel import dependence.

The EU's high cost of energy and crisis of competitiveness have taken centre stage, with [calls for reforms](#). One option that has gained traction among member states is diluting the EU's Emissions Trading System (ETS), through which fossil fuel power generators and industry pay for their carbon emissions. This should lower wholesale electricity prices in many EU countries where gas remains the price-setting technology, and lower costs for energy-intensive industry. This would in turn feed into lower energy prices for end users, boosting household disposable incomes and the competitiveness of industry. Based on our modelling, a 25% reduction of effective carbon prices would boost GDP and overall industry only marginally (**Chart 1**).

Chart 1: Diluting the ETS would offer a minimal boost to economy and industry



Sources: Oxford Economics, Haver Analytics

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A new energy crisis adds urgency to policy action

As we laid out in a recent [research briefing](#), we currently expect the fallout from the Iran conflict to be of a smaller magnitude than the 2022 invasion of Ukraine for Europe, as we think the disruption to energy flows is inherently temporary with a lower risk of physical energy shortages. However, the outlook is subject to high uncertainty relating to the course of the war, extent of damage to physical energy infrastructure and shipping, and time it will take to resume normal trade flows.

The EU is better equipped to withstand this shock than in 2022, having secured alternative supplies of natural gas, rolled out additional renewable power generation capacity, and gained policy experience from its response to soaring energy prices in 2022. Yet a strong and sustained price spike in oil and natural gas prices will weigh on European economic activity. According to our estimates, a permanent USD 10 increase in oil prices would lower Eurozone GDP by 0.1 percentage point over the long run, whereas a permanent EUR 10 increase in natural gas prices would lower its GDP by 0.2 percentage point. This aligns with IMF estimates that a 10% increase in oil prices would cut global GDP growth by 0.15 percentage points.

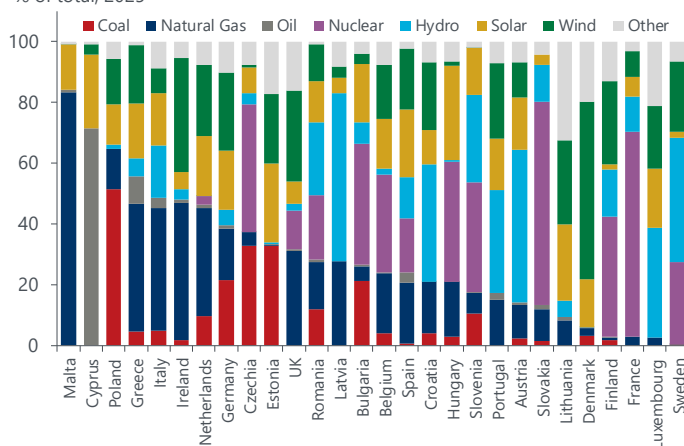
This latest external shock adds to the difficulties faced by European households and industry by increasing already structurally high energy prices. As such, it puts additional pressure on the Commission to respond to member states' long-term concerns about high energy prices and rising effective carbon costs. For example, Italy's government, whose country has one of the highest shares of gas in power generation in Europe and relies on Middle East gas imports, has called for a full suspension of the ETS. It estimates that the scheme adds 25% to the cost of wholesale electricity on average. However, we see a full suspension as highly unlikely, especially after [statements](#) following the EU leaders' summit last month.

Diluting the EU's ETS would affect member states differently as their reliance on fossil fuels for power generation (**Chart 2**) and as feedstock in industry varies significantly. In addition, the effect on electricity prices would depend on the extent of their interconnection with neighbouring countries. The relief that this would provide would be modest and would not address the main channel through which the conflict feeds into consumer prices and the real economy.

Chart 2: France and the Nordics have the cleanest power mix

EU27 & UK: Electricity generation by source

% of total, 2025



Sources: Oxford Economics, IEA

Potential reforms

What are the EU's options to address short-term challenges? Several possible adjustments are on the table, all of which could relieve pressure on covered emitters in the short term and potentially put downward pressure on the price of emission allowances. These reforms could be implemented as part of the ETS review, proposals for which are due to be presented by the European Commission by the end of July. A first set of measures would reduce the pace of decrease of free allowances granted to ETS sectors. This can be achieved through prolonging the free carbon permit allocations for sectors covered by the Carbon Border Adjustment Mechanism (CBAM), as proposed by Germany. Free allowance allocations in industrial sectors

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are currently being phased out between 2026-2034. It can also be achieved by keeping the 2021-2025 EU ETS product-specific emissions benchmarks, which capture the emissions intensity of the 10% most efficient installations covered by the EU ETS and are used in the calculation of the volume of free allowances. Not updating to stricter 2026-2030 values, [as is currently being discussed](#), would increase the volume of free emission allowances and relieve cost pressure on CBAM and non-CBAM sectors covered by the ETS.

A second possibility involves shifting the volume and timing of allowances available in the ETS: first, by amending the [Linear Reduction Factor \(LRF\)](#), which determines the rate at which the mechanism's cap decreases over time; second, by altering the rules of the Market Stability Reserve (MSR). The MSR was initially introduced in 2019 to help balance the market after a long period of oversupply and low carbon prices. But in 2023, rules were modified to introduce the automatic cancellation of allowances held in the MSR above a certain threshold, tightening supply. Modifying the MSR and allowance cancellation rules could lead to the release of allowances back to the market and ease the allowance supply tightness.

Finally, other less likely reforms include introducing a price corridor or cap; integrating carbon removals, a proposal already under review and expected to be implemented from 2031 onwards; and bringing in international credits to the scheme, which [has been floated](#) by influential lawmakers and some member states, but not currently being planned according to existing legislation.

At the national level, Italy's proposals to compensate gas power generators from the government's budget – and thus have the taxpayer bear the cost of lower wholesale electricity prices – are likely to be rejected by the European Commission. Similarly, Italy's recent call to suspend the ETS altogether faces significant opposition among other member states. This split reflects the uneven impacts any changes to the ETS would have across the EU, with the benefits mainly reaped by those with carbon-intensive power and industry sectors.

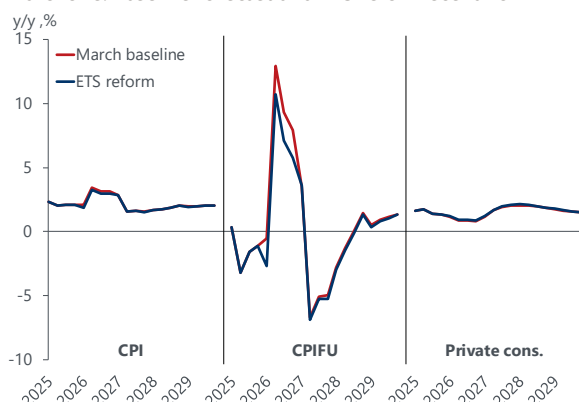
Small and uneven impacts from diluting the ETS

All options laid out above would put downward pressure on the price of emission allowances. Using the GEM, we model the impact of a 40% reduction in EU ETS prices, which translates into a 25% decline in the effective cost of carbon, until 2030. We find that the boost to GDP by 2030 would be minimal, at just 0.1%. This boost fully reverses should carbon prices later converge to the current baseline.

The main mechanism in play is lower wholesale electricity prices feeding into lower energy costs for consumers, with a level shift down of around 4%. This would bring down the overall consumer price index by around 0.3% (**Chart 3**). Assuming this windfall would be fully spent and not saved, it would result in real consumption being 0.2% higher, accounting for the bulk of the boost to GDP. Changes to other GDP components would be negligible, with higher imports offsetting some of the upside from consumption.

Chart 3: The boost to private consumption would be minimal

Eurozone: Baseline forecast and ETS reform scenario



Sources: Oxford Economics, Haver Analytics

The boost to manufacturing would be small at around 0.3% by 2030 (**Chart 1**). This is because, as we have shown in a [recent](#) research briefing, the cost of carbon emissions represents only a small share of industry

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costs. And given the still extensive free allowances, the effective decline in carbon cost would be smaller than the headline reduction of 40% to the EU ETS.

Within industry, energy-intensive industries would be the main beneficiaries, gaining competitiveness and leading to higher goods exports, which we see up slightly. There would also be second-round effects of lower energy input costs for other industries, but these are marginal on a macro scale.

Just as for industry, the benefits for EU countries would be highly uneven. Those with the highest share of fossil fuels in power generation, such as Italy, Germany, and some CEE countries, might benefit more. Conversely, France, Spain, and the Nordics, which rely almost completely on a combination of nuclear, hydro, and renewables and are large net exporters of electricity, would see only an indirect impact on their wholesale electricity and hence consumer energy prices. Unsurprisingly, these countries are leading the opposition to the push to dilute the ETS.

While reducing carbon costs would provide very small short-term relief, it would be uneven across member states and fully reversed should the dilution prove temporary. It also presents long-term risks, as it would slow down the investment into renewables and prolong the European economy's structural dependence on imported fossil fuels. This is because of the implied lower revenue for renewables generators, leaving them with fewer funds to invest in new capacity.